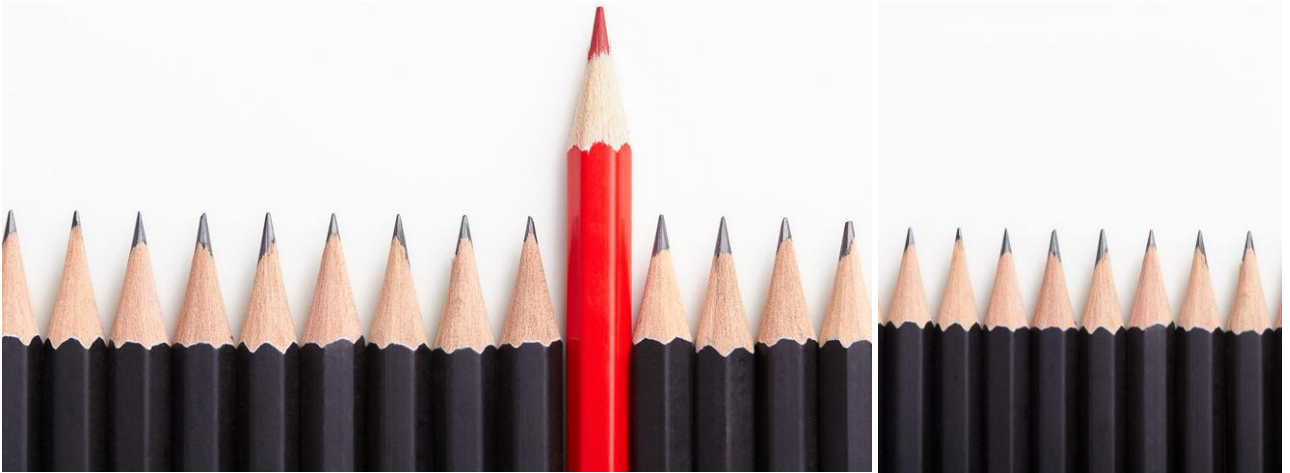




# Innovation and Entrepreneurship

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## Objectives

- At the end of class, you should be able to:
  - Describe the difference between equity capital and Debt
  - Describe various sources of Debt Capital available to entrepreneurs
  - Discuss various sources of equity capital available to entrepreneurs
  - Understand how venture capital work
  - Explore other sources of startup Financing

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## Start Up Financing



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## Why do Start-ups Need Financing?



- Two Main categories of Financing
  - Capital Investment goes to making or acquiring assets
  - Working Capital – helps iron out cash flow issues and keep the lights on.
- Factors to Consider When Choosing a Source of Finance
  1. Amount of Financing needed
  2. Availability of options
  3. Cost of financing (Monetary and nonmonetary)
  4. Payback periods and availability of disposable income
  5. How long it takes to get the money
  6. Collateral and other contractual requirements.

## Ways to raise money for your startup



- Debt involves a payback of the funds plus a fee (Interest) For the use of the money.
- Debt financing places a repayment burden on the entrepreneur
- Equity Involves the sale of some of the ownership of the venture.
- Equity financing forces the entrepreneur to relinquish some degree of control.
  - Usually financing of new venture involves a mix of debt and equity.

## Debt financing



- Working capital -Short-term borrowing (One year or less) is often required for working capital and is repaid out of the proceeds from sales.
- Asset Funding -Long-term debt (one to five years or more) is used to finance the purchase of property or equipment, with the purchased asset serving as collateral for the loans. The most common source of debt financing are commercial banks.
- Trade-credit is credit given by supplier who sell goods on account to be paid in 30-90 days. Suppliers normally offer this credit as a way to attract new customers.
- Accounts receivable financing- use of receivable as collateral for a loan or sales of receivables at a discounted rate (Factoring). Factoring can be with or without recourse.

## Debt financing



- Advantages of debt financing
  - No relinquishment of ownership is required
  - Allows for potentially greater return on equity
  - When interest rates are low, the opportunity cost is justifiable since the cost of borrowing is low.
- Disadvantages
  - Regular interest repayments are required
  - Continual cash-flow problems can be intensified because of payback responsibility
  - Heavy use of debt can inhibit growth and development

## Debt financing



- Although borrowed capital allows entrepreneurs to maintain complete ownership of their businesses, it must be carried as a liability on the balance sheet as well as be repaid with interest at some point in the future.
- A 2024 Study by FSD Kenya show that only 27% of emerging businesses (less than 5 years) secured a business loan in the past year. *Innovation Driven Enterprises often struggle to secure loans from traditional commercial banks.*
- Challenges new business face when it comes to securing loans include
  - Lack of collateral
  - High interest rates and loan costs
  - Stringent loan requirements such as audited financial statements
  - Poor credit history or a lack of credit profile
  - Nature of business such as irregular cash flows and seasonality
  - Lack of tailored products. Most loans are generic.
  - Limited access to information. Entrepreneurs don't know where to look for loans.

## Debt financing



- To increase your chances of getting bank-based financing, you need to understand what lenders are looking for.
  - Different financial institutions target different customers. Are you the right customer for the financial institution you are approaching.
  - National Bank has a Jenga Biashara loan that is open to businesses that have been in operations for at a minimum one year. While KCB MSME loan targets businesses that have been in existence for at least 2 years.
- Consider building your credit profile by accessing loans from micro credit organizations and Sacco's.
  - Micro credit institutions give small ticket loans and are flexible in their repayment terms. You need to ensure that the institution is not a predatory lender.
  - Sacco's are membership based and will loan you money based on what you have saved with the institutions. Some Sacco's will loan up to 4 times what you have in your savings.

## What Lenders and Investors Look



- To increase their chances of success when using their business plans to attract capital, entrepreneurs must be aware of the criteria lenders and investors use to evaluate the creditworthiness of businesses seeking financing. Lenders and investors refer to these criteria as the **five Cs of credit: capital, capacity, collateral, character, and conditions**.
1. **CAPITAL.** A small business must have a stable capital base before any lender will grant a loan. Otherwise, the lender would be making, in effect, a capital investment in the business. Investors also want to make sure entrepreneurs have invested enough of their own money into the business to survive the tenuous start-up period.
  2. **CAPACITY.** A synonym for capacity is cash flow. Lenders and investors must be convinced of a company's ability to meet its regular financial obligations and to repay the bank loan, and that takes cash.
  3. **COLLATERAL.** Collateral includes any assets an entrepreneur pledges to a lender as security for repayment of the loan.

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- 4. **CHARACTER.** Before putting money into a small business, lenders and investors must be satisfied with the owner's character. An evaluation of character frequently is based on intangible factors such as honesty, competence, polish, determination, knowledge, experience, and ability. Lenders and investors know that most small businesses fail because of poor management, and they try to avoid extending loans to high-risk entrepreneurs.
- 5. **CONDITIONS.** The conditions surrounding a loan request also affect the owner's chance of receiving funds. Banks consider factors relating to the business operation such as potential growth in the market, competition, location, form of ownership, and loan purpose

## Equity financing



- Equity capital represents the personal investment of the owner (or owners) in a business and is sometimes called risk capital because these investors assume the primary risk of losing their funds if the business fails. If a venture succeeds, however, founders and investors share in the benefits, which can be quite substantial.
  - *Cellulant secured \$1.5 million from its first private equity institutional investor, indicating a strong early interest. A subsequent sale of shares to an American fund revealed a valuation of \$10.8 billion, suggesting significant appreciation for early investors.*
- To entrepreneurs, the primary advantage of equity capital is that it does not have to be repaid like a loan does. Equity investors are entitled to share in the company's earnings (if there are any) and usually to have a voice in the company's future direction. **Equity financing is referred to as "Patient money"**

## Sources of Equity financing



- Bootstrapping (Self-Funded)
  - Utilizing funds you have saved or acquired.
  - Pros: Its your money. You don't have to pay it back. You retain ownership of your company.
  - Cons: Downside is the amount of funds you can actually raise.
- *Bootstrapping is a money management philosophy that calls for a “no frills” approach to starting out.*
- Equity from Family and Friends
  - Pros: Might be easy to raise funds by selling shares to family or friends.
  - Cons: Downside is the amount of funds you can raise. Additionally, lack of clear terms of investment can result in strained relationships.

## Types of Equity Investors



- Angel Investors
  - Angel investors are basically people with a huge amount of capital. The entrepreneurs on Lion's den or Shark Tank are Angel investors in that they invest their own money on their own behalf.
  - They are willing to invest it in startups or as growth capital in businesses that interest them.
- Pros
  - Patient capital
  - Angel (s) might offer mentorship and technical support
  - Angel (s) might leverage their network to the advantage of the entrepreneur
- Cons
  - Limited amount of money (often can't do multiple rounds)
  - Professionalism might be an issue (interference in the business)

## Venture Capital (VCs)



- Venture Capital firm are investments companies. **Venture capital is financing** that investors provide to startup companies and small businesses that are believed to have long-term growth potential.
- They have access to institutional money and from individuals of high net worth.
- They have to make money to give it back to its owners with a health return.
- VCs raise rounds of investment. E.g. \$500 Million round. They then take the money and invest it companies ( a portfolio of companies).
  - They look to exit every 3-5 years from the companies in which they invested.
  - If a VC Firm does not have a good track record, it will have a difficult time raising funds for its investment rounds.

## Venture Capital (VCs)



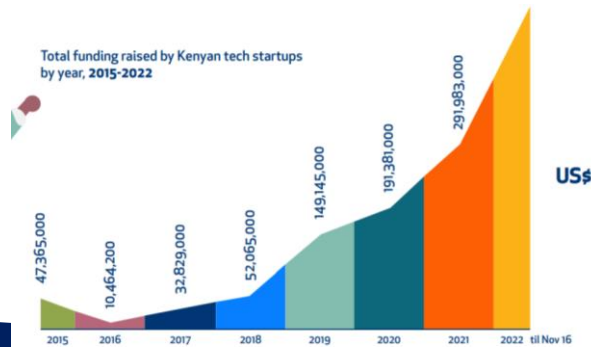
VCs offer more than money. They offer technical or managerial expertise. They can provide:

- Market research and strategy
- Management-consulting, audits and evaluation
- Contacts—customers, suppliers, and businesspeople
- Assistance in negotiating technical agreements
- Help in establishing management and accounting controls
- Help in employee recruitment and employee agreements
- Help in risk management and with insurance programs
- Counseling and guidance in complying with government regulations
- VC's need to make money. Lots of money. They will do whatever it takes to support the company to make money. Including replacing the management.

## Startup investment in Kenya



- The growth in the total amount of investment secured by Kenyan startups each year has been significant. Back when Disrupt Africa records began in 2015, Kenyan startups raised a combined US\$47,365,000. Fast-forward to November 2022, and so far US\$506,686,000 had already been secured. This figure is just approaching double Kenya's total in 2021, and as such already represents a record-breaking year for the ecosystem



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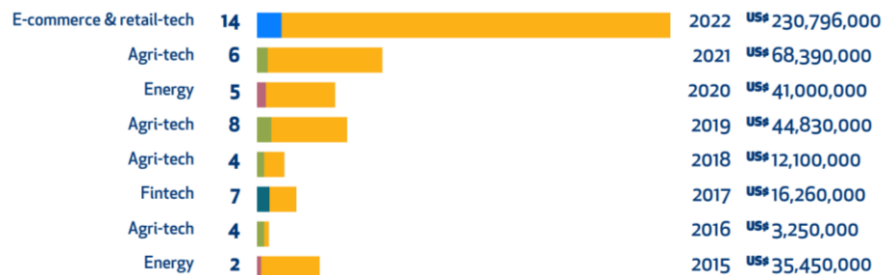
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Most popular sectors for Kenyan tech startup funding, 2015-2022

Source: Disrupt Africa

Most popular sectors for Kenyan tech startup funding, 2015-2022



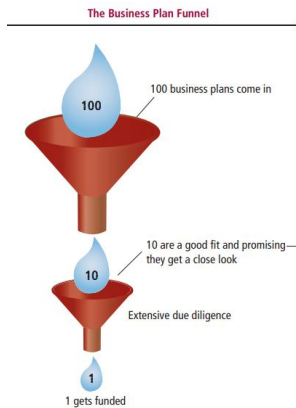
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## Dispelling Venture Capital Myths



- Myth 1: Venture capital firms want to own control of your company and tell you how to run the business.
- Myth 2: Venture capitalists are satisfied with reasonable return on investment.
- Myth 3: Venture capitalists are quick to invest.
- Myth 4: Venture capitalists are interested in backing new ideas or high-technology inventions - management is a secondary consideration.
- Myth 5: Venture capitalists need only basic summary information before they make an investment

## Venture Capitalist Evaluation Process



- Stage 1: Initial Screening
  - This is a quick review of the basic venture to see if it meets the venture capitalist's particular interests.
- Stage 2: Evaluation of the Business Plan
  - This is where a detailed reading of the plan is done in order to evaluate the factors mentioned earlier.
- Stage 3: Oral Presentation
  - The entrepreneur verbally presents the plan to the venture capitalist.
- Stage 4: Final Evaluation
  - After analyzing the plan and visiting with suppliers, customers, consultants, and others, the venture capitalist makes a final decision.
- **They process takes between 3months to 18 months**

## Other Sources of Financing



- **Grants**
- There are grants available for innovative ideas that solve social problems.
  - Grant application is a competitive process based on certain criteria provided by the funding organization.
  - Grant application and management requires technical skills

For example, in 2024, the Kenya Climate Innovation Center located at Strathmore University was offering grants of USD 10K-40K under the SWIFT program

## Ways to raise money for your startup



- Funds from Business Incubators and Accelerators.
  - Business incubators basically nurture business while accelerators fast-track businesses.
  - Pros: Networking with other startups, mentorships and structures programs.
  - Cons: Time limited engagements.

For example, Antler invests in early-stage entrepreneurs that qualify to be part of its program.



Y-Combinators (YC) also invests in entrepreneurs that go through its program.

Somo Africa also invests in entrepreneurs that go through its program.

## Ways to raise money for your startup



① We're introducing a game-changing trainer: **The Lapatet**

② **Game Changing?**

Yup! It is the:

1. lightest
2. best cushioned
3. lowest drop
4. most socially conscious
5. best value  
Kickstarter \$100 (retail \$120)

shoe in its category.



<https://www.kickstarter.com/projects/1723798662/enda-lapatet-the-game-changing-running-shoe>

- Crowd funding
  - Crowd funding platforms are basically set up for individuals to pitch their business ideas or challenges to a community of investors or people willing to support their ideas
  - **You either get donations or you pre-sell your product or get a zero interest loan.**
  - Examples include: Kickstarter, gofundme, Kiva etc.
  - Pros:
    - Free publicity, marketing as well as business funds
    - Cuts out the stress of looking for specific investors
    - Might attract specific investors.
  - Cons:
    - Platforms are crowded and its easy to be overlooked.
    - Difficult to know what the crowd wants and if your idea is timely for the crowd.
    - Failure to meet platform requirements results in no cash raised

## Ways to raise money for your startup



- Crowd funding

Example- Kickstarter

Kickstarter uses an all-or-nothing funding model. If your project doesn't reach its goal, then funds don't get collected, and no money changes hands. This minimizes risk for creators — imagine ending up with only \$5,000 and a bunch of people expecting a \$50,000 film! All-or-nothing funding makes it easier for backers to pledge to your project with confidence that you'll be able to get the job done.

Your funding goal should be the minimum amount you need to make what you promised and fulfill all rewards. The first step to setting that goal is figuring out a budget.

<https://www.kickstarter.com/help/handbook/funding>

## Ways to raise money for your startup



- Source Funds by winning contests.
  - As a contestant, you are required to present a comprehensive and detailed business plan or an investor pitch deck.
  - Pros: Media coverage and publicity.
    - Opportunity to network with participants
  - Cons: Losing contests or competitions can demoralize the faint hearted.
    - People equate winning with probability of startup success/failure
    - You need to know how to pitch well and write a good business plan.
- **\*\*Raising money from grants also requires technical knowledge on writing proposals.**

## Ways to raise money for your startup



- Other Ways you can Raise Money for your Startup
- **Fintech App based loans and Loan Sharks ☹ ☹**
  - Tala Loan App Kenya offers loans with interest rates ranging from 0.3% to 0.6% per day, with a potential APR of 109.5% to 219.0%, and a late payment interest of 8% on the outstanding balance.
  - Branch loan interest rates in Kenya range from 2% to 18% monthly, with loan amounts from Ksh 500 to Ksh 300,000. The specific rate depends on the individual's risk profile
- Sell of Assets



## Common Mistakes When it comes to raising funds



- **Not understanding the revenue drivers.** Entrepreneurs need to know what the leverage points are that drive revenues. They need to understand how many customers are likely to see the product, how many of those who see it will buy it, and how much, on average, they will buy each time.
- **Underestimating costs.** Often entrepreneurs underestimate how much infrastructure they need in the way of employees and physical assets to achieve that level of sales. Entrepreneurs also underestimate the cost of marketing expenditures to acquire and retain customers. Poor projections lead to cash crunches and ultimately to failure.
- **Underestimating time to generate revenues.** Pro-forma financials often show sales occurring immediately. Typically, a business will incur costs for many months before it can generate revenue. For instance, if you are opening a restaurant, you will incur rent, inventory, and labor costs, among others, before you generate a dime in revenue. Another “red flag” is how quickly revenues will ramp up. Often projections show the business at full capacity within the first year. That is rarely realistic.

## Common Mistakes When it comes to raising funds



- **Lack of comparables.** Investors typically think about the entrepreneur's concept from their knowledge of similar businesses. They will compare your gross margins, net income margins, and other metrics to industry standards and selected benchmark companies. Yet many entrepreneurs' projections have ratios that far exceed industry standards, and when questioned about this above-average performance, they can't explain it. You need to understand your business model in relation to the industry and be able to explain any differences.
- **Top-down versus bottom-up forecasting. (China Syndrome)** Investors often hear entrepreneurs claim that their revenues represent 3% of the market after year three. The implication is that it is easy to get that 3%. Investors know that, although it doesn't sound like much, the trick is how you get to that 3%. They want to see the process—the cost of acquiring, serving, and retaining the customer. Investors won't believe that you can get 3% without causing competitors to take notice and action.

## Common Mistakes When it comes to raising funds



- **Underestimating time to secure financing.** The last pet peeve of investors is that entrepreneurs assume financing will close quickly. Whether entrepreneurs want to raise \$25,000 or \$1 million, they project it will happen in the next month. If entrepreneurs are too optimistic about how quickly they can close a round of financing, they will quickly have negative cash flow, which often means they are out of business.

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## Activity



Research on 3 different sources of financing your start up might be able to secure.

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